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The Honorable Kirk Dohne
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Submitted via email to: [REDACTED]

RE: Request for Information on the Development of an Artificial Intelligence (AI) Action Plan (90 FR 9088)

Dear Acting Director Dohne and Mr. D'Souza,

The Blue Cross Blue Shield Association (BCBSA) appreciates the opportunity to provide comments on the "Request for Information on the Development of an Artificial Intelligence (AI) Action Plan," (the "RFI") as published in the Federal Register on February 6, 2025 (90 FR 9088).

BCBSA is a national federation of independent, community-based and locally operated BCBS companies (Plans) that collectively cover, serve, and support 1 in 3 Americans in every ZIP code across all 50 states and Puerto Rico. BCBS Plans contract with 96% of hospitals and 95% of doctors across the country and serve those who are covered through Medicare, Medicaid, an employer, or purchase coverage on their own.

AI is transforming health care by improving patient care, enhancing decision-making and reducing administrative burdens. For instance, AI-powered tools can be used to predict patients' health trajectories to better meet care needs, automate administrative tasks like notetaking to allow providers more time with patients and improve the identification of health care fraud. As global competition in AI accelerates, the U.S. must foster an environment that sustains and enhances its leadership in health care AI innovation. This

requires policies that promote investment, avoid unnecessary and duplicative processes or reporting, ensure regulatory clarity and consistency, and support the responsible development and use of AI-driven health care solutions with patients in mind. By balancing innovation with appropriate safeguards, health plans can continue to innovate AI solutions to realize their full potential to improve the health of Americans.

BCBS Plans are focused on deploying AI to improve outcomes, offer data-driven insights to enhance the ability for patients to make informed decisions on their health care, and relieve administrative burdens. BCBS Plans have identified and implemented AI tools to support a number of use cases, in accordance with all existing laws and consumer protections, including:

- **Increasing care coordination:** AI is being used to identify hard-to-reach and at-risk populations, such as those that are more likely to have severe cases of cardiovascular disease or elderly members with multiple chronic conditions. AI has enabled personalized outreach through targeted communication, AI-powered chatbots and tailored recommendations for programs like disease management. Furthermore, AI facilitates proactive care management by identifying care gaps, predicting likely hospital readmissions and helping coordinate care to prevent adverse events and improve patient outcomes.
- **Enhancing member experience:** AI is being deployed in customer service centers to reduce member frustration associated with long hold times, multiple transfers, confusion with coverage and benefit policies, and insufficiently answered questions. In this context, AI is used by customer service representatives to appropriately access plan data and guidelines, to answer member questions more efficiently, comprehensively and consistently. This reduces wait times and improves the accuracy and helpfulness of the information provided to members.
- **Supporting interoperability:** AI is supporting implementation of CMS' Interoperability and Prior Authorization Final Rule (CMS-0057-F), which requires the use of application programming interfaces (APIs) to streamline and expedite communications with providers and improve the member and provider experience, including for prior authorizations. Specifically, AI is assisting in API integration and management, improving data validation and reducing errors.
- **Fraud Detection and Prevention:** AI is used to help detect fraud by using machine learning to identify anomalies and predict potentially fraudulent claims based on patterns in vast datasets of structured and unstructured data (e.g., claims, medical records). Techniques can include anomaly detection, predictive modeling, natural language processing, and network analysis to identify outliers, unusual provider behavior and potential collusion. This enhances Special Investigations Units' understanding of where to look for fraud. These actions ensure that resources are directed towards legitimate patient care, unnecessary costs are prevented, and overall data integrity is sound. This not only enhances the affordability and

accessibility of health care but also safeguards patients from fraudulent practices that could lead to improper billing or compromised care.

These uses, and many others, can improve the experience with the health care system for patients. While AI must be adopted responsibly and with understanding of the inherent risks, it has the potential to transform the efficiency of patient care, improve health outcomes and lower health care costs. However, realizing these benefits at scale requires thoughtful public policy to help guide the development and deployment of AI in ways that maximize its advantages while addressing potential risks. With this in mind, we offer the following recommendations to help shape the AI Action Plan that fosters innovations, drives efficiencies and ensures alignment with existing regulatory frameworks.

- **A multi-stakeholder advisory group should be established to guide the development of effective AI public policy, ensuring diverse expertise informs policymaking.** There is currently a limited AI knowledge base due to the rapidly evolving nature of the technology, specifically generative AI. There are also unique nuances depending on the use case and industry, as well as inconsistent existing laws and regulations. A broad cross-section of stakeholders, including health plans and private entities with both technical and industry on-the-ground expertise, will be critical to creating effective guidance or requirements. If such guidance or requirements are developed in a silo, there is significant risk for unintended consequences that could stifle innovation.
- **Clear and consistent definitions are a key first step in developing future public policy related to AI.** Definitions form the scope of public policies and are critical to ensuring there is a clear understanding of what and who is being regulated and to what extent. Establishing standardized definitions across policies will not only reduce burdens on stakeholders and support responsible AI adoption but also position the US as a global leader in AI governance and innovation.

Most notably, requirements should be focused on AI systems (AIS), not algorithms. The National Association of Insurance Commissioners (NAIC) Model Bulletin: “Use of Artificial Intelligence by Insurers.”¹, defines an AIS as “a machine-based system that can, for a given set of objectives, generate outputs such as predictions, recommendations, content (such as text, images, videos, or sounds), or other output influencing decisions made in real or virtual environments. AI Systems are designed to operate with varying levels of autonomy.” In contrast, an algorithm encompasses a far broader set of processes such as a simple set of defined rules that produce a specific result when followed, which do not necessarily include the use of computers or information technology.

BCBSA generally supports the use of key definitions related to artificial intelligence contained in the NAIC Model Bulletin, which has been adopted by more than 23 states to date. While we urge the adoption of the NAIC Model Bulletin to focus on

¹ https://content.naic.org/sites/default/files/inline-files/2023-12-4%20Model%20Bulletin_Adopted_0.pdf

AIS rather than AI more broadly, the definitions in the bulletin largely align to definitions contained in the National Institute of Standards and Technology (NIST) Artificial Intelligence Risk Management Framework (AI RMF). Developed through a consensus-driven process with cross-industry input, this framework is widely accepted, voluntary and designed to support innovation. Definitions should also account for differences in responsibility between developers of AIS and deployers of AIS developed by others.

- **Public policies regarding AI should recognize industry-specific differences and needs.** Use of AI in health care has different considerations from the use of AI in other industries due, in part, to its direct impact on patient health, the high level of risk associated with certain decisions and the complexity of health care data. Additionally, health care is a highly regulated industry that must maintain the privacy of patient information pursuant to the Health Insurance Portability and Accountability Act (HIPAA) alongside numerous state laws and requirements. HIPAA provides a framework for the privacy and security of health information. Some of the provisions within the HIPAA Privacy Rule may impact AI and data governance for HIPAA-regulated entities. To ensure AI policies are appropriately tailored to the health care sector, the Assistant Secretary for Technology Policy (ASTP) would be the most appropriate entity to create and maintain, in consultation with appropriate stakeholders, industry-specific federal standards and requirements. This model has worked effectively for the development of standards related to other health care policy issues, such as interoperability. ASTP sets the relevant data standards, and those standards are adopted, as appropriate, by federal health care agencies and industry stakeholders through regulation.
- **Future public policy related to AIS should align to existing requirements to achieve regulatory harmony.** Many of the policy issues raised by AIS are not novel and intersect with existing laws and regulations. Whether they require a novel policy approach or more modest adjustments to existing rules requires a detailed assessment of the current regulatory environment before proceeding with new requirements. For example, covered entities under HIPAA are subject to numerous requirements to protect the privacy and security of patient information today. Any additional requirements on HIPAA-covered entities must balance the need to protect patient privacy while not adding unnecessary burden to the regulated entities. Alignment with HIPAA and other existing requirements will enable consistency to ensure that requirements complement — not complicate — advances in technology. Clear and harmonized federal standards provides greater predictability for stakeholders, supporting the development of AI solutions and encourages innovation.
- **Federal leadership on AI policies is essential to support innovation and regulatory clarity.** A patchwork of conflicting state and federal AI regulations creates compliance challenges, increases operational costs and impedes

innovation. The burden of navigating inconsistent state requirements slows the adoption of transformative AI solutions and detracts investments into AI technologies. Federal leadership on policy would support a more consistent regulatory landscape offering predictability for stakeholders and fostering AI innovation.

- **Public policies should seek to address the potential for AIS to reduce disparities in health care.** BCBSA is committed to reducing disparities in health care, including in the context of AIS, and to exploring policy solutions that may be needed. Requirements should focus on regulation of potential harms within the context of AIS, not algorithms more broadly, to improve accessibility to care without unintended consequences that could stifle innovation.
- **Industry standards based on a flexible, risk-based approach are foundational to responsible AIS.** There is a cross-stakeholder understanding that the foundation of responsible and trustworthy AI is in the appropriate identification, measurement, and mitigation of risk through governance, as well as protocols and internal controls tailored to particular AIS and use cases. It is also important to note that there is no one-size-fits-all approach to measuring, managing and mitigating the potential risks of AIS. A workable framework would be one that has incorporated the necessary levels of flexibility to appropriately measure risks and enable companies to tailor risk mitigation to the unique considerations of each AIS and use case. For instance, it will be important to scope AIS accountability measures through applying a risk-based approach. Instead of imposing prescriptive requirements, such as specific tests or intricate details for the technology itself, policymakers should adopt a flexible, standards-based risk framework to guide management and oversight of AIS. This type of framework would account for the severity of potential consumer harm and its likelihood of occurring. The greater the potential harm and likelihood of occurring, the greater the need for accountability, governance and risk mitigation measures in both regulation and internal controls.
- **Transparency and accountability between developers and deployers of AIS are essential for responsible implementation and regulatory compliance.** Developers should be held accountable to disclose sufficient information to the deployer to understand the model and, potentially, to comply with any regulatory requirements. For example, further developing and standardizing the information included in AIS “model cards” with key facts by an appropriate standard-setting body, such as NIST, can help ensure proper disclosure from AIS developers to deployers and consumers. Without such transparency, deployers will struggle to conduct proper due diligence on opaque, black-box algorithms, hindering responsible AI implementation and compliance.

Additionally, developers must provide appropriately scoped audit rights and/or entitle the deployer to receive audit reports by qualified entities, such as third-party

auditors and government agencies, as well as cooperate with the deployer regarding regulatory inquiries related to the deployer's use of the developer's product. While deployers have a role in compliance, if regulatory requirements are placed upon deployers that cannot be met without information from developers, maintaining compliance will not be possible unless there are appropriate contractual standards in place between the entities. Creating risk-based regulatory requirements, such as audit rights, to support these contractual standards will support compliance from all entities on relevant AIS requirements.

BCBSA and Plans are committed to advancing responsible AI innovation in health care. As AI continues to evolve, it is essential public policy supports an environment where responsible AI-driven solutions with consumer protections can thrive, enhancing health care delivery and consumer experience. We encourage policymakers to take a balanced approach that fosters technological advancement and patient care without imposing unnecessary barriers that could stifle innovation.

Thank you for the opportunity to provide input on the development of the AI Action Plan. We welcome the opportunity to collaborate with OSTP, NITRD and other stakeholders to shape AI policies that align with existing regulations, enhance operational efficiencies and protect consumers. If you have any questions or want additional information, please contact Jennifer Jones at [REDACTED] or [REDACTED]

Sincerely,

Anshu Choudhri
Vice President, Policy Development and Strategy

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